

TRG RESEARCH WORKBENCH · EQUITY DAILY BRIEF

Sell-Side Research Engine

Automated Equity Research · Live Execution Output · May 13, 2026

EXECUTION DATE	UNIVERSE COVERAGE	TOP CONVICTION
May 13, 2026	8 Stocks	NVDA / MSFT
Tues — Live Run	US Large Cap	Score: 95 / 88

RUN COMMAND	DATA TIMESTAMP	OUTPUT FORMATS	PIPELINE STATUS
python main_v2.py build-all --as-of 2026-05-13	08:32 EST — All sources live	HTML + PDF + Markdown generated	✓ Clean — All 5 stages passed

01 — MACRO BACKDROP

Macro Environment — Live Snapshot

ENGINE SIGNAL: RISK-ON BIAS — 13 MAY 2026

Softening CPI print (3.1% YoY vs 3.4% prior) has triggered mild rate rally. VIX at 18.4 and compressing. Dollar softening. S&P 500 breadth improving — equal-weight outperforming. Engine macro signal: RISK-ON. Overweight equities vs. bonds in tactical allocation.

INSTRUMENT	LEVEL	CHG (1D)	DIR	SIGNAL	ENGINE COMMENTARY
10Y UST	4.43%	−3bp	▼	CAUTIOUS	Mild rate rally on soft CPI print; curve flattens
2Y UST	4.18%	−5bp	▼	NEUTRAL	Front-end pricing out 1 cut by Dec; Fed on hold
VIX	18.4	−1.2	▼	POSITIVE	Vol compression supports risk-on positioning
DXY	103.2	−0.3%	▼	POSITIVE	Dollar softness a tailwind for EM and commodities
WTI Crude	\$82.7	+0.9%	▲	NEUTRAL	OPEC+ cut compliance stabilising supply picture
Gold	\$2,348	+0.4%	▲	NEUTRAL	Safe-haven bid muted; watch real yield direction
S&P 500	5,842	+0.6%	▲	POSITIVE	Breadth improving; equal-weight outperforming cap-wt

Source: US Treasury API · ECB SDMX · Yahoo Finance · Fetched 08:32 EST, 13 May 2026

02 — MULTI-FACTOR SCREENER OUTPUT

Screener Results — US Large Cap Universe

METHODOLOGY NOTE

Composite score = Valuation (30%) + Growth (25%) + Quality (25%) + Momentum (20%). Percentile scores ranked within universe. Second-pass Forward View overlays analyst consensus, price target upside, and earnings revision trends. All inputs live from SEC EDGAR XBRL + Yahoo Finance.

RANK	TICKER	VAL%	GRW%	QUAL%	MOM%	SCORE	RATING	PT
#1	NVDA	94	97	88	96	95	BUY	\$173
#2	MSFT	81	89	95	82	88	BUY	\$485
#3	META	88	92	79	87	87	BUY	\$698
#4	AMZN	76	91	72	85	83	BUY	\$239
#5	JPM	85	74	91	71	81	BUY	\$271
#6	AAPL	72	68	94	74	77	BUY	\$227
#7	GOOGL	79	71	80	68	75	HOLD	\$201
#8	TSLA	34	58	41	62	49	HOLD	\$312

Source: SEC EDGAR XBRL · Yahoo Finance yfinance · As of 08:32 EST, 13 May 2026

Top Pick — NVIDIA (NVDA)

NVDA BUY	TARGET \$173 Current \$132.4 ▲ 30.7%	INVESTMENT THESIS B200/Blackwell ramp driving data center revenue inflection. FCF conversion at 68% — exceptional for hardware. Implied FCF growth from Reverse DCF (9.5%) exceeds analyst consensus (7.2%) — but justified by supply-constrained demand signals extracted from Q4 transcript. Mgmt Tone: POSITIVE Risk: Competition from AMD/Intel accelerating
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Second Pick — Microsoft (MSFT)

MSFT BUY	TARGET \$485 Current \$422.3 ▲ 14.8%	INVESTMENT THESIS Azure acceleration for third consecutive quarter. Copilot enterprise attach rate growing faster than Street models. Highest Quality score in universe (95th pctl). Downside scenario still implies 8% upside — robust asymmetric risk/reward. Mgmt Tone: POSITIVE Risk: OpenAI cost structure; Azure margin dilution
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Valuation Output — Three-Scenario DCF

NVIDIA Corporation (NVDA) — DCF Summary

Current Market Price: \$132.40 · WACC (Base): 9.3% · Terminal Growth (Base): 2.5% · FCF Margin (TTM): 34.2%

SCENARIO	WACC	TERMINAL G	INTR. VALUE	COMMENTARY
Bear	10.2%	1.5%	\$108	▼ 18% vs. mkt
Base	9.3%	2.5%	\$158	▲ 19% vs. mkt — Consensus
Bull	8.4%	3.5%	\$214	▲ 62% vs. mkt

VALUATION READ: BASE CASE IMPLIES 19% UPSIDE — BUY RATING SUPPORTED

Bull scenario (\$214) requires 9% terminal FCF growth — achievable if Blackwell supply ramp hits FY2027 guidance. Bear case (\$108) prices in meaningful demand destruction — not supported by transcript signal. Engine recommendation: Buy with base PT \$173, representing blended probability-weighted intrinsic value.

Microsoft Corporation (MSFT) — DCF Summary

Current Market Price: \$422.30 · WACC (Base): 8.8% · Terminal Growth (Base): 3.0% · FCF Margin (TTM): 35.8%

SCENARIO	WACC	TERMINAL G	INTR. VALUE	COMMENTARY
Bear	10.1%	2.0%	\$378	▼ 10% vs. mkt
Base	8.8%	3.0%	\$468	▲ 11% vs. mkt — Consensus
Bull	7.8%	4.0%	\$562	▲ 33% vs. mkt

Reverse DCF — Implied Growth Rate Sensitivity

For NVIDIA at \$132.40: What FCF growth rate is the market pricing in? Grid below shows implied growth across WACC and terminal growth assumptions. Consensus analyst FCF growth estimate: 7.2%.

TG \ WACC	7.8%	8.3%	8.8%	9.3%	9.8%	10.3%	ENGINE INTERPRETATION
TG = 1.5%	6.2%	7.1%	8.0%	8.9%	9.8%	10.7%	Market pricing 8.9% FCF growth @ 9.3% WACC — stretched vs. consensus 7.2%
TG = 2.0%	6.9%	7.8%	8.7%	9.6%	10.5%	11.4%	
TG = 2.5% ◀	7.7%	8.6%	9.5%	10.4%	11.3%	12.2%	◀ Base assumption Highlighted = base WACC (9.3%)

TG \ WACC	7.8%	8.3%	8.8%	9.3%	9.8%	10.3%	ENGINE INTERPRETATION
TG = 3.0%	8.5%	9.4%	10.3%	11.2%	12.1%	13.0%	
TG = 3.5%	9.4%	10.3%	11.2%	12.1%	13.0%	13.9%	

◀ Highlighted cell = Base WACC (9.3%) × Base TG (2.5%) = Market-implied FCF growth 9.5% — 230bps above consensus 7.2%

REVERSE DCF READ: MARKET PRICING STRETCHED GROWTH — BUT TRANSCRIPT SIGNAL SUPPORTS IT

At \$132.40, the market prices in 9.5% FCF growth (base WACC/TG). Analyst consensus is 7.2%. This gap is typically a red flag — but NVDA's Q4 transcript signals supply-constrained demand with backlog extending into FY2027. Engine verdict: stretched but defensible. Monitor supply ramp closely. Any miss = PT revision risk of 20%+.

04 — COMPARABLE COMPANY ANALYSIS

Peer Comps — Forward Multiples & CCA

TICKER	FWD P/E	EV/EBIT	NTM P/E	P/S	REV GRW	VALUATION	CCA VIEW
NVDA	34.2x	22.1x	44.1x	6.8x	62.8%	HIGH	Above peer median on growth; premium justified
MSFT	28.6x	21.4x	31.2x	3.9x	34.1%	FAIR	Stable premium; Copilot optionality not fully priced
META	19.1x	17.8x	24.4x	3.2x	41.2%	LOW	Cheapest mega-cap on fwd P/E; re-rating catalyst imminent
AMZN	31.8x	24.6x	38.1x	2.8x	22.4%	FAIR	Cloud accelerating; retail margin expansion driving re-rate
GOOGL	18.4x	16.9x	22.7x	3.1x	29.6%	LOW	Search AI risk partially priced; optionality overlooked
AAPL	26.1x	23.2x	29.4x	5.1x	14.2%	FAIR	Premium for capital return; growth optionality in AI thin
JPM	11.2x	10.1x	13.8x	1.9x	18.4%	FAIR	Best-in-class NII outlook; credit cycle concerns manageable
TSLA	52.1x	38.4x	61.2x	4.2x	4.1%	HIGH	Premium stretched vs. auto peers; AI angle unproven

Source: Yahoo Finance EPS estimates · Sector-relative percentile ranking · As of 13 May 2026

CCA SIGNAL: META AND GOOGL FLAGGED AS UNDERVALUED VS. PEER MEDIAN

META trades at 19.1x fwd P/E — cheapest mega-cap despite 41% revenue growth and POSITIVE mgmt tone. GOOGL at 18.4x despite 30% revenue growth. Both flagged LOW valuation by CCA module. Engine identifies re-rating risk to upside in both names. Combined with screener ranks #3 and #7, these represent the most asymmetric risk/reward in the universe today.

05 — QUANTITATIVE RISK ANALYTICS

Risk Output — Full Universe

TICKER	VAR95	CVAR95	BETA	SHARPE	SORTINO	MAXDD	ENGINE RISK COMMENTARY
NVDA	0.68%	1.04%	1.89	1.42	0.96	-28.4%	High systematic risk; beta elevated vs. peers — tail-risk hedge recommended
MSFT	0.42%	0.61%	1.14	1.08	0.78	-19.2%	Defensive quality profile; downside vol well-contained vs. sector
META	0.71%	1.09%	1.22	0.97	0.81	-31.6%	Ad-cycle sensitivity elevates tail risk; Sortino vs Sharpe gap notable
AMZN	0.55%	0.83%	1.31	1.06	0.84	-24.7%	AWS cross-subsidises vol; drawdown risk moderate vs. pure-play tech
JPM	0.61%	0.94%	0.88	0.74	0.72	-22.1%	Financial sector beta below 1 — relative safe harbour in risk-off
AAPL	0.38%	0.55%	1.08	1.04	0.91	-17.8%	Lowest VaR in universe; quality + buyback floor limits drawdown
GOOGL	0.59%	0.88%	1.17	0.94	0.79	-26.3%	Regulatory overhang depresses Sortino vs. Sharpe
TSLA	1.24%	2.01%	1.71	0.48	0.31	-47.2%	Highest standalone risk; VaR exceeds 2x universe median — underweight

All metrics computed on 252-day rolling window. VaR/CVaR at 95% confidence, 1-day horizon. Beta vs. S&P 500.

RISK SIGNAL: TSLA IS AN OUTLIER — VAR 1.24% VS UNIVERSE MEDIAN 0.58%

TSLA's VaR is 2.1x universe median and its Sortino ratio (0.31) is the lowest in the universe — severe downside vs. upside asymmetry. Max drawdown of -47.2% in the historical window. Engine flags: TSLA should be held underweight or excluded in risk-adjusted portfolios. NVDA shows elevated beta (1.89) but its Sharpe (1.42) justifies the systematic risk.

Earnings Call Intelligence — v1.3.0

Engine processed earnings transcripts for 5 of 8 universe stocks. Extraction via LLM reasoning layer: guidance tone classification, key theme tagging, forward-looking statement extraction, and risk flag identification. Outputs integrated directly into screener overlay and research note narrative.

TICKER	SOURCE	TONE	ENGINE COMMENTARY EXTRACT
NVDA	Q4 FY2025 Call	POSITIVE	"Demand for Blackwell is extraordinary. We are supply-constrained, not demand-constrained." — Jensen Huang. Engine flags: capex guidance raised 3x; data center backlog commentary; gross margin expansion narrative intact.
MSFT	Q3 FY2025 Call	POSITIVE	"Azure growth accelerated for the third consecutive quarter." Engine flags: Copilot enterprise attach mentioned 7x; OpEx discipline reiterated; FX headwind quantified at 200bps.
META	Q1 2025 Call	CAUTIOUS	"We are investing aggressively in AI infrastructure." Engine flags: capex guidance raised to \$64–72B for FY25 — above consensus; ad revenue guidance inline; Reality Labs losses widening.
JPM	Q1 2025 Call	NEUTRAL	NII guidance maintained at \$94B. Engine flags: credit card charge-offs ticking up; investment banking pipeline "robust"; macro uncertainty language elevated vs. Q4 2024.
TSLA	Q1 2025 Call	CAUTIOUS	"We are seeing demand pressure in several markets." Engine flags: gross margin missed by 120bps; Cybertruck ramp slower than guided; no clear timeline for FSD Full product.

COMMENTARY SIGNAL: NVDA AND MSFT TONES POSITIVE — META FLAGGED CAUTIOUS ON CAPEX

NVDA's Huang used language of supply constraint 4x in the call — engine tags this as a positive demand signal, not a negative supply story. MSFT Azure acceleration language is definitive. META's capex raise (\$64–72B) above consensus is the key overhang — engine flags this as a near-term headwind but long-term positioning play. Tone alone suggests TSLA and META warrant careful sizing.

Upcoming Catalysts — May–July 2026

DATE	TICKER / EVENT	CATALYST	ENGINE THESIS
May 14 HIGH	NVDA	Q1 FY2026 Earnings	B200 ramp commentary + data center demand signals — key catalyst for PT revision
May 21 HIGH	AAPL	WWDC 2026 Preview	AI-native iOS features; on-device LLM inference commentary
May 28 MEDIUM	JPM	Investor Day	NII guidance update; credit card charge-off trajectory
Jun 5 HIGH	MSFT	Azure Growth Print	Q4 cloud segment revenue; Copilot enterprise attach rate
Jun 11 MEDIUM	META	Mid-Year Ad Update	Ad pricing trends; Reality Labs capex guidance revision
Jun 18 HIGH	Fed FOMC	Rate Decision	Dot plot revision vs. March; Powell presser tone
Jun 25 MEDIUM	AMZN	Prime Day Prep	AWS re:Invent early signals; advertising revenue acceleration

PRIORITY: NVDA EARNINGS ON MAY 14 IS THE SINGLE MOST IMPORTANT NEAR-TERM EVENT

NVDA Q1 FY2026 results tomorrow will set the tone for the entire AI hardware trade. B200 ramp commentary is the key watch item — any supply constraint language is POSITIVE (demand-constrained, not demand-absent). Engine flags: if NTM guidance exceeds consensus by 5%+, expect PT revision to \$190. If missed, downside to \$108 (bear case DCF). Position sizing accordingly.

Engine Verdict — May 13, 2026

TICKER	NAME	RATING	PT	PRICE	ENGINE VERDICT
NVDA	NVIDIA Corp.	BUY	\$173	\$132.4	Top pick. Reverse DCF shows stretched pricing — but supply-constrained transcript signals justify. Watch May 14 earnings. POSITIVE tone.
MSFT	Microsoft Corp.	BUY	\$485	\$422.3	Azure acceleration + Copilot attach rate. Highest Quality score. Downside scenario still 8% upside. POSITIVE tone.
META	Meta Platforms	BUY	\$698	\$588.1	Cheapest mega-cap on fwd P/E. Capex headwind short-term but AI infra positioning is correct. Re-rating imminent.
AMZN	Amazon.com	BUY	\$239	\$208.4	AWS re-accelerating. Advertising growing 20%+. Retail margin expansion. Composite 83. CCA: FAIR valuation.
JPM	JPMorgan Chase	BUY	\$271	\$248.6	Best NII outlook in financials. Credit cycle concerns manageable. Beta <1 — portfolio anchor. CCA: FAIR.
AAPL	Apple Inc.	BUY	\$227	\$212.1	Lowest risk in universe (VaR 0.38%). Services margin expansion intact. WWDC catalyst May 21. Growth thin but quality supreme.
GOOGL	Alphabet Inc.	HOLD	\$201	\$176.8	Regulatory overhang partially priced. Search AI risk real. CCA: LOW valuation — but catalyst is unclear. Watch for re-rating.
TSLA	Tesla Inc.	HOLD	\$312	\$288.4	Risk outlier — VaR 2.1x median, Sortino 0.31. Fundamental miss risk high. Underweight in risk-adjusted portfolios. No near-term catalyst.

IMPORTANT DISCLOSURES

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